

The Complete Financial Guide for Young Couples

some spending that won't be reflected. One area that is often overlooked in a budget is vacations. To determine how much is spent usually requires some honest interchange between husband and wife.

I can remember sitting down with a couple who were overspending several hundred dollars a year. Normally, at the initial counseling session I just ask a husband and wife how much they spend in each area of the budget. We go through each category and write it down. We had worked our way down to the entertainment and recreation category. A subcategory under recreation is "Vacation." I asked the husband, "How much do you spend a year on vacations?"

"Oh, about \$300."

His wife said, "Now, Honey," and after thinking about it, he concluded, "Well, \$500." His wife said, "Now, Honey." (That's why I always counsel two people. You get much better answers.)

Finally, four "now, Honeys" later, we were up to about \$1,200. I said, "OK, \$1,200 a year for vacations. That's \$100 a month. I want you to save \$100 each month for vacations."

"For goodness sake, I can't afford \$100 a month for vacations," he exclaimed.

"Right," I said, "you can't afford \$100 a month for vacations." That's where about \$800 a year in credit card expenses were coming from. They also overspent about \$400 a year at Christmas, and \$300 more than they could afford on birthdays and anniversaries. The result was \$7,000 in credit card debts with no way to pay them.

I would hope that by this time you recognize the need to develop a budget. If you're not married yet, you have a great advantage in that you and your fiancé(e) can plan ahead and avoid most of the financial problems that other couples frequently experience. If you're newly married, now's the time to start. If you're already having financial difficulties, don't wait. Start as soon as possible.

Hopefully, you also have a grasp of some important principles of budgeting: